Business Administration - Graduate Level Assessment 18 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. For the 3 payments of $1000 each end-of-year, with 7% rate of return, what is the present value if the first payment is made at the end of fifth year?
   (a) 1800.0000
   (b) 2500.0000
   (c) 2200.5678
   (d) 2300.4567
   (e) 2600.8910
2. Mr. Josephson put $200 in a savings account which receives 4% interest compounded semiannually. Find the present valueof his account after 2 years.
   (a) $212.36
   (b) $220.50
   (c) $210.00
   (d) $222.22
   (e) $216.49
3. George sells vacuum cleaners for $75 each. He receives a 30% commission on each cleaner. Last week he sold 13 machines. What were his total earnings?
   (a) $325.50
   (b) $650
   (c) $585
   (d) $405
   (e) $975
4. What does situational theory of leadership emphasise?
   (a) Individual skills
   (b) Cultural influences
   (c) Economic conditions
   (d) Political situation
   (e) Personality traits
5. Providing free samples of perfumes (scent) in magazines is an example of which of the following?

(a) Operant conditioning.
(b) Social learning.
(c) Insight learning.
(d) Observational learning.
(e) Cognitive learning.

True / False (10 marks)

Answer True or False

6. True or False: Investing $1,000tosave150$ annually for 10 years yields a rate of return of 10%.

7. True or False: The book value per share for ABC Corporation is $50, assumingtotalassetsarecorrectlys$

8. True or False: Egoism and Utilitarianism are both deontological theories that focus on moral duties rather than outcomes.

9. True or False: The annual percentage rate for an invoice of $10,000 marked (6/10), (n/30) is 24.49%.

10. True or False: Mr. Scaccioborrows pays a total of $120.00 to his credit union, which includes principal and interest over the repayment period.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the factors influencing the theoretical forward price of gold, given a current price of $412 per ounce, storage costs, and a 9% interest rate compounded quarterly for a 9-month period.

12. Discuss the impact of sequential discounts on the final pricing of a product. Using a Speedway Racing Set priced at $84 with a 20% and then 10% discount, calculate and analyze the net price.

End of Paper